

DEBT & EQUITY

JLL's \$176.6M Student Housing Loan Tests Construction Debt's New Underwriting Margin

The deal shows lenders will finance new supply only where enrollment growth and sponsor equity absorb the risk.

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A source-grounded Light Tower Insight. The complete note follows.

JLL Capital Markets has secured a \$176.6 million construction loan for The Place at Alafaya, a 1,395-bed student housing development near the University of Central Florida. The number is large. The more revealing number is that the loan exists at all.

Construction debt in 2026 is not unavailable. It is surgically selective. Lenders are not financing ground-up projects on a thesis. They are financing projects where the underwriting margin is wide enough to absorb a year of cost overruns, a semester of lease-up delay, or a rate path that does not cooperate. This deal passed that test.

The borrower is Beachwold Residential, a developer with a track record in student housing. The asset is a 1,395-bed, 484-unit project with bed-to-bath parity, a 16,000-square-foot clubhouse, and amenities that include a cold plunge and pickleball courts. The location is 11600 MacKay Boulevard, adjacent to a university that enrolled over 70,000 students in fall 2025 and continues to grow.

That enrollment base is the structural hedge. UCF is one of the largest universities in the country by undergraduate population, and its Orlando location draws from a demographic pool that is still expanding. Student housing lenders underwrite to enrollment trends, not GDP forecasts. A university that adds bodies every fall compresses the lease-up risk that kills construction loans in other property types.

The loan amount works out to roughly \$126,500 per bed. That is not cheap construction. It reflects the cost of four-story wood-frame buildings, a standalone amenity structure, and the land basis in a submarket where developable sites near a major university are scarce. The lender is underwriting a rent premium that the amenity package and location can command, not market-average rents.

What the deal reveals about capital is this: construction lenders are not back for all product types, but they are back for student housing near enrollment-growth universities with sponsors who have done this before. The lender is not betting on the national economy. It is betting on UCF's fall 2027 occupancy report.

The cast matters. JLL placed the loan through a team that included Mona Carlton, Elliott Throne,

Joshua Odessky, Michael Romero, JJ Hovenden, and Luke Maganas. The size of the team signals the complexity of the capital stack. Construction loans of this magnitude typically require a club deal, a syndication, or a balance-sheet commitment from a bank or debt fund with construction expertise. The fact that JLL assembled the capital without a public agency backstop or a government-sponsored enterprise guarantee tells you that private capital is willing to take construction risk when the underwriting is tight enough.

The mechanism producing the pressure is the cost of time. Construction loans carry floating rates, and the forward curve in July 2026 still prices short-term rates above 4 percent. Every month of delay in completion or lease-up adds interest carry that eats into the developer's equity return. The lender's underwriting must assume that the project will open into a rate environment that is not materially lower than today's. That assumption compresses the margin for error.

Beachwold Residential is absorbing that risk with equity. The loan-to-cost ratio was not disclosed, but in the current market, construction lenders are typically requiring 35 to 45 percent equity from the sponsor. That means Beachwold likely has \$80 million to \$110 million of its own capital in this project. That is not a speculative position. It is a conviction bet on the submarket, the university, and the execution timeline.

The broader pattern is that construction debt is returning, but only where the demand story is local and verifiable. National multifamily starts have fallen sharply from the 2022 peak because lenders cannot underwrite rent growth in markets where supply is still delivering. Student housing is different. Supply is constrained by site availability near campuses, and demand is driven by enrollment, which is sticky and predictable. Lenders can model it.

The reader consequence is for developers and owners of student housing assets near other large public universities. If you have a site, a credible sponsor, and a pre-development package that shows entitlement progress, the debt markets are open. But the window is narrow. Lenders are not financing concepts. They are financing projects where the basis is defensible, the sponsor has equity at stake, and the demand driver is a university that is still adding students.

The deal is not proof that construction lending is back. It is proof that construction lending is back for projects that can survive the underwriting margin. That margin is the difference between a loan that gets done and a story that stays on the shelf.

SOURCES

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<https://rebusinessonline.com/jll-secures-176-6m-construction-loan-for-student-housing-development-near-university-of-central-florida/>

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